

market participation. Less than 1 per cent of Indians have exposure to the stock market.

There is a Mr Talwar and a Mr Sanghvi in all of us, both in the state of our financial planning and in terms of the financial mistakes we make. For many of us, our portfolios haven't given the returns that we need. Ultimately, investment is as much about discipline as it is about being smart. We hope this book will help you remove the cobwebs of complexity and inefficiency in your investments and help you achieve financial security.

The three key takeaways from Coffee Can Investing: The Low-Risk Road to Stupendous Wealth

1. Create a financial plan which helps you deliver on your life goals. Unless you do so, you will be shooting in the dark. A financial plan helps you quantify and rationalize your life goals. It also helps you set up a return expectation from your investment portfolio so that you can build an appropriate portfolio with just the right amount of required risk—no more, no less.
2. Understand the power of expenses. We have seen time and again the enormously damaging impact of compounding expenses over long periods of time. For each investment decision, the investor should choose the most inexpensive investment product.
3. Understand the power of high-quality investing and patience. There is an inherent volatility in the equity markets. To exit at the first sign of volatility or trying to time the market will rob you of an opportunity to derive handsome long-term gains. Also, given the long-term tenures of such investments, it is critical to choose only the highest quality investments.